



EQUITY BANK GROUP

Investor Briefing

30TH September 2010 Performance



Evolving Operating Environment



- Economic growth supported by credit growth in key sectors - agriculture, manufacturing, construction and financial intermediation.
- Improved private sector financial access.
- Declining interest rates.
- Low and stable inflation – Overall below 3.5%

Evolving Operating Environment



- Stable exchange rate.
- Economy – 5.4 growth in Q2 from 4.8% in Q1. Projection for 2010 in the 4.5% – 5 % range.
- Political reforms – Improved confidence in the economy with adoption of the new constitution.
- Large Market - East African Community

3

Strategic Focus



- Regional Expansion
 - Collaboration with Telcoms
 - M-KESHO
 - Agency Banking
 - Customer Experience
 - Continuous Alignment

Performance Review

5

Key Business Drivers

September 2009

September 2010

	September 2009	September 2010
No. of Branches	152	165
No. of Customers	4,158,617	5,655,652
No. of ATMs	504	555
No. of Staff	5,007	5,276

		Key Financial Highlights Balance Sheet		
	September 09 Billions	September 10 Billions	Growth %	
Loans (Net)	58.1	70.9	22 %	
Deposits	65.7	98.8	50 %	
Total Assets	97.4	136.6	40 %	

		Key Financial Highlights Income Statement		
	September 09 Billions	September 10 Billions	Growth %	
Interest Income	7.84	11.98	53 %	
Commissions Income	4.56	6.02	32 %	
Total Income	11.27	16.51	46 %	
Operating Expenses	7.05	10.04	42 %	
Profit before tax	4.25	6.53	53 %	
Profit after tax	3.38	5.13	51 %	

 Key Financial Highlights Income Statement 			
	September 09 millions	September 10 millions	Growth %
Loan Loss Provision	452	1,834	306 %
Staff Costs	3,068	3,738	22 %
Depreciation costs	827	1,097	33 %
Rental Charges	448	541	21 %
Other Expenses	2,240	2,814	26 %

 Trend in Quality of Loan Book 						
	2007	2008	2009	March 2010	June 2010	Sept 2010
Gross NPL	1,198	2,647	5,083	4,790	4,337	3,578
Gross NPL / GL	5.4 %	5.9 %	7.7 %	7.0 %	6.2 %	4.9 %
Coverage of NPL	35 %	34 %	41 %	46 %	41 %	45 %





Key Capability Indicators

Ratios	September 2009	September 2010
Return on Equity	21.5 %	26.8 %
Return on Assets	5.1 %	5.8 %
Cost to Income Ratio	63 %	61 %
Earning Per Share	1.22	1.85





Key Performance Indicators

Statutory Compliance	Statutory Minimum	September 2010
Core Capital/Total Deposit Liabilities	8 %	19.9 %
Core Capital/Total Risk Weighted Assets	8 %	22.3 %
Total Capital/Total Risk Weighted Assets	12 %	28.9 %

ACHIEVEMENTS & RECOGNITIONS

13

Best Performing Ai 40 Company of the year in Africa 2010



Global Leadership Recognition-Top 50 world business leaders



Dr. James Mwangi was named by Financial Times among the 50 emerging market business leaders in BRIC countries – Brazil, Russia, India and China – and other emerging market economies-who have shaped the economic performance of their respective regions.

The Financial Times recognized Dr Mwangi for transforming the lives of many people in Kenya including house helps and low income earners who have been able to borrow as little as Sh500 from the Bank.

“James Mwangi talks about Equity Bank’s mission with an evangelical enthusiasm. He lends for profit but says he also wants to transform the lives of poor Kenyans and his Bank is showing the two are compatible,” said the Financial Times.



African Banker 2010



Dr James Mwangi was named the 2010 African Banker of the Year . He was cited for revolutionizing Kenya's banking industry, pioneering the first mobile banking technology in the world to reach out to the unbanked, and for championing the empowerment of ordinary people through inclusive finance





THANK YOU

Email: info@equitybank.co.ke

Web site: www.equitybank.co.ke